



# **ANNUAL AUDIT REPORT**

**Financial Year Ended:** December 31, 2024

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## **1. General Introduction**

We, Ernst & Young Auditing Co., Ltd., have conducted an audit of the Financial Statements of the Institute of Construction and Urban Economic Research ("the Institute") for the financial year ended December 31, 2024. These Financial Statements include the Balance Sheet, Income Statement, Cash Flow Statement, and Notes to the Financial Statements.

**Responsibility of the Institute's Management:** The Institute's Board of Directors is responsible for preparing and presenting the Financial Statements fairly and accurately in accordance with Vietnamese Accounting Standards (VAS), the Vietnamese Corporate Accounting System, and relevant legal regulations. This responsibility includes establishing and maintaining an internal control system necessary to ensure the Financial Statements are free from material misstatements due to fraud or error.

**Responsibility of the Auditor:** Our responsibility is to express an opinion on the Financial Statements based on our audit. We conducted the audit in accordance with Vietnamese Auditing Standards, which require us to comply with professional ethical standards and principles, as well as to plan and perform the audit to obtain reasonable assurance that the Financial Statements are free from material misstatements.

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## **2. Auditor's Opinion**

In our opinion, the attached Financial Statements present fairly and accurately, in all material respects, the financial position of the Institute of Construction and Urban Economic Research as of December 31, 2024, as well as its operating results and cash flow status for the financial year ended on the same date, in compliance with Vietnamese Accounting Standards, the Vietnamese Corporate Accounting System, and relevant legal regulations.

### 3. Summarized Financial Statements

Below are key financial indicators summarized from the audited Financial Statements:

#### Summarized Balance Sheet (Unit: million VND)

| ITEM                             | 31/12/2024    | 31/12/2023    |
|----------------------------------|---------------|---------------|
| <b>SHORT-TERM ASSETS</b>         | 9,500         | 8,200         |
| <b>CASH AND CASH EQUIVALENTS</b> | 1,200         | 1,500         |
| <b>SHORT-TERM RECEIVABLES</b>    | 4,300         | 3,800         |
| <b>INVENTORY</b>                 | 2,000         | 1,500         |
| <b>LONG-TERM ASSETS</b>          | 6,500         | 6,000         |
| <b>TOTAL ASSETS</b>              | <b>16,000</b> | <b>14,200</b> |
| <b>SHORT-TERM LIABILITIES</b>    | 5,800         | 5,000         |
| <b>LONG-TERM LIABILITIES</b>     | 2,500         | 2,200         |
| <b>EQUITY</b>                    | 7,700         | 7,000         |
| <b>TOTAL CAPITAL</b>             | <b>16,000</b> | <b>14,200</b> |

#### Summarized Income Statement (Unit: million VND)

| ITEM                                       | 2024         | 2023       |
|--------------------------------------------|--------------|------------|
| <b>NET REVENUE</b>                         | 12,000       | 10,500     |
| <b>COST OF GOODS SOLD</b>                  | (7,000)      | (6,500)    |
| <b>GROSS PROFIT</b>                        | 5,000        | 4,000      |
| <b>SELLING AND ADMINISTRATIVE EXPENSES</b> | (3,500)      | (3,000)    |
| <b>PROFIT BEFORE TAX</b>                   | 1,500        | 1,000      |
| <b>CORPORATE INCOME TAX EXPENSE</b>        | (300)        | (200)      |
| <b>NET PROFIT AFTER TAX</b>                | <b>1,200</b> | <b>800</b> |

### 4. Internal Control Assessment

During the audit, we reviewed the Institute's internal control system related to the preparation and presentation of the Financial Statements. The purpose of this review was to determine appropriate audit procedures, not to express an opinion on the effectiveness of the internal control system.

We found the Institute's internal control system to be generally effective. However, we have provided specific recommendations in a separate Management Letter for the Board of Directors to review and improve.

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## 5. Recommendations and Conclusion

We recommend that the Institute continue to strengthen its internal control system, particularly in the processes for managing receivables and inventory. This will help mitigate risks and enhance operational efficiency.

We sincerely thank the Board of Directors and the Institute's staff for their cooperation in facilitating the completion of our audit.

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## 6. Signature and Auditor Information

**Ernst & Young Auditing Co., Ltd.**

**Address:** 16 Phan Chu Trinh Street, Phan Chu Trinh, Hoan Kiem, Hanoi

**Representative:** \_\_\_\_\_

**Title:** General Director

**Date:** \_\_\_\_\_

**Signature:** \_\_\_\_\_